

IONIC DIGITAL INC IOND

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by

zbeex

			2026	2027
Price:	55.00	EPS	0	0
Shares Out. (in M):	45	P/E	0	0
Market Cap (in \$M):	2,495	P/FCF	0	0
Net Debt (in \$M):	-600	EBIT	0	0
TEV (in \$M):	1,895	TEV/EBIT	0	0

Description

Ionic Digital (NASDAQ: IOND)

Price at Entry: \$55/share (intraday)

Recommendation: Long IOND

Executive Summary: Under-the-radar, idiosyncratic, highly asymmetric legacy bitcoin miner transitioning into AI-infrastructure, with downside protection from the Nscale contract (Microsoft-backed, NVIDIA credit support) and ample secured power and imminent catalysts.

At \$55, Ionic trades at a ~\$2.5bn diluted market cap, for which you can own: 1) ~\$600m of cash and bitcoin; 2) an executed \$1.95bn 126-month take-or-pay triple-net lease with Nscale for 234MW gross (underlying compute customer is MSFT, and NVDA provides \$860m guaranty of the first 5 years); 3) another 89MW contractually committed lease to Nscale upon delivery of power (~\$700m additional proceeds); 4) a near-term path to full the 700MW at Cedarvale; and 5) 112MW energized in Midland, TX (path to 122MW). Importantly, our valuation assumes zero improvement in lease pricing and zero value for ongoing bitcoin mining operations. Since Ionic signed the Nscale lease in October 2025, comparable crypto-to-AI infrastructure leases, contracted full-service GPU compute pricing, and Hopper/Blackwell GPU hour pricing have all strengthened. Meanwhile, Ionic trades at ~\$2.3m EV/MW versus \$3.8m/MW for public miners with signed HPC deals. If Ionic contracts all of its power, DCF alone implies >\$120/share of value, with mid-teens EBITDA multiple implying closer to \$200/sh.

Historical Context:

- In May 2022, the Terra blockchain was temporarily halted after the collapse of the algorithmic stablecoin TerraUSD and the cryptocurrency LUNA, an event that wiped out over \$40 billion of value within a week. This triggered further declines in cryptocurrencies and caused market-wide panic, leading to account holders of various crypto trading platforms, such as Celsius and FTX, to make significant redemption requests. It then came to light that Celsius and FTX had used customer deposits to make extremely risky and illiquid bets that were cratering in value. Thus, Celsius was forced to freeze withdrawals in June 2022 and file for Chapter 11 bankruptcy in July 2022. The founder of Celsius, Alex Mashinsky, ultimately pled guilty of commodities and securities fraud. In late 2023, the plan of reorganization was confirmed.
- The Celsius recovery entailed eligible creditors receiving payment in crypto, cash, as well as shares in a newly-formed segment comprised of the Celsius bitcoin mining facilities, named Ionic Digital. The certificate of incorporation of Ionic Digital included a share transfer prohibition, presumably to prevent early, potentially undervalued, trading on unofficial markets to protect the value of the stock ahead of the anticipated 2024 IPO. However, in mid-2024, Ionic's auditor RSM exited the entire crypto sector and shortly thereafter the CEO resigned (August 2024). Thus, IPO plans were shelved, and the tens of thousands of shareholders continued to lack liquidity.
- In early 2025, shareholder agitation around governance, audits, and liquidity led to the appointment of Michael Abbate and Oliver Wiener to the board. In October 2025, the company announced a 10-year, \$2bn triple-net lease with Nscale, a neocloud provider backed by Microsoft, at its 234MW Cedarvale facility in Texas; shortly thereafter, Ionic confidentially filed an S-1 with the SEC and hired a new CEO with significant experience in the data center space, creating a visible path to public listing and lifting of transfer restrictions. Then, in June 2026, Ionic raised \$400m, at \$53/share, at a pre-money valuation of \$2.0bn from Attestor, Oaktree Capital Management, and Sachem Head Capital Management, Citadel, and Weiss Asset Management, with a lock-up of the earlier of a \$70/share stock price or 6-months. The new issue also included warrants in three tranches: ~1m warrants at a \$63.60/sh strike; 1m warrants at \$74.20/sh strike; and 1m warrants at \$87.45/sh strike. Lastly, in July 2026, Ionic held an investor day, and completed its direct listing on Nasdaq Global Select Market on July 28th.

Company Overview:

- Ionic Digital is a legacy bitcoin miner undergoing a rapid transition into a digital-infrastructure landlord: the Cedarvale campus, four Midland bitcoin-mining sites available for AI conversion or lease, ~\$418m of cash, zero debt, and 2,861 bitcoin (~\$180m).
- The company's first customer, Nscale (a well-funded European neocloud), is deploying ~104,000 NVIDIA GB300 GPUs for Microsoft at the Ward County Cedarvale campus. Cash rent commences August 2026, reaching \$65/kW/month after an 18-month ramp, with 3% escalators after year five and a 10-year renewal option at market prices (floored at the then-current rate). The lease is triple-net and high margin: Nscale funds and operates the data-center equipment and pays power, taxes, insurance, and maintenance; Ionic contributes powered land and substation capacity. NVIDIA guarantees the first five lease years (up to \$860m); Microsoft is the underlying compute customer but not a direct rent obligor. Tranche one (234MW) produces ~\$180m of annual cash rent before the escalator; tranche two (89MW) lifts contracted rent to ~\$248m at 98-99% site-level margins for ~\$40m of incremental capex; tranche three (377MW), on which Nscale has a ROFR (and underlying tenant MSFT has an option for) we believe is likely to be included in ERCOT's batch zero, would add ~\$290m for only ~\$24m of Ionic-funded electrical capex.

Ionic Digital: Power Portfolio Contracts + Expansion Pipeline	
Cedarvale - Tranche 1 w/ Nscale - Contracted (MSFT; NVDA gty.)	234
Cedarvale - Tranche 2 w/ Nscale - Contracted (MSFT; NVDA gty.)	89
Cedarvale - Tranche 3 - ROFR w/ Nscale - Power NOT Secured	377
Total Cedarvale Potential	700
East Stiles (Reagan County, TX) - Owned	30
East Stiles (Reagan County, TX) - Power NOT Secured	10
Garden City (Glasscock County, TX) - Owned	12
Rebel (Glasscock County, TX) - Long-term Lease	50
Stiles (Reagan County, TX) - Long-term Lease	20
Total Midland Potential	122
Total Power Portfolio (including potential expansions)	822

Thesis:

Massive dislocation from public peer valuations and scenario-based DCF. Cash and bitcoin plus the present value of the Nscale contracts (~\$2.6bn of contracted proceeds), is worth \$40/share, with immediate upside convexity from: (1) ERCOT Batch Zero classification of the incremental 377MW (expected clarification on 8/7/26), which at flat pricing would add over >\$3bn of contracted proceeds over an initial 10-yr lease term; (2) potential Midland leases (~\$1bn incremental); (3) renewals at improved pricing after the initial ~10yr term OR all non-GPU & non-server assets revert to Ionic; and (4) powered-shell development — peers spend ~\$10m/MW net and lease at ~\$1.5-2.0m/MW net on 10-20 year take-or-pay agreements, worth an incremental >\$1bn of equity value on the 377MW alone.

Why the mispricing? (1) an inefficient, illiquid setup — the direct listing hands stock to over 80,000 former Celsius creditors (no roadshow,

no stabilization), many needing liquidity four years after accounts were frozen. Ionic still screens as a declining bitcoin miner despite ~91% of Q2'26 revenue being digital infrastructure; (2) this situation is under-the-radar with minimal institutional ownership and zero sell-side coverage; (3) misunderstood likelihood of Cedarvale's full 700MW being classified as Base Load under ERCOT's batch zero; and (4) Underappreciated structural tailwinds — our bottom-up work pegs U.S. compute at >20GW of incremental power annually for three years (from 8m Blackwells, 12m Rubins, 16m TPUs, 10% CAGR on legacy CPU cloud), reaching nearly 120GW by year end 2028 versus ~60GW today — handily outpacing new generation supply and forcing more cryptomining power to AI HPC (over two dozen AI HPC leases announced to date, so benchmarking is relatively straightforward).

ERCOT / Batch Zero:

The near-term catalyst is the August 7 ERCOT Batch Zero process, which will largely decide how much of the requests, for pending 75MW+ large loads, will be classified as: 1) Base Load, thus not requiring further load study; 2) Studied Load, which may ultimately receive partial capacity of requests; or 3) Excluded, meaning load requests are deferred to future ERCOT batches. The way management describes its Cedarvale site is the following:

So let me just spend a moment on it because it's where we are genuinely well positioned. Getting a new load energized in ERCOT is a multi-step process. You request to connect, the planning group reviews and then signs off. You build while completing the required validation, and then you're cleared to energize. It's detailed and sequential, and moving through on schedule takes real expertise and knowledge. At Ward County, we're already well down that path. Our facility extension agreement with TNMP for the full seven hundred megawatts was actually executed in 2021 and approved in 2022. So the contractual and planning foundation has been in place for years. Our load has further been qualified by ERCOT as eligible to operate as base load power through the batch zero process. Which is an important distinction. Baseload classification reflects the kind of steady, high utilization demand that ERCOT plans around. And the transmission upgrades that serve our site are part of TNMP's broader build out, not work we're waiting to initiate on our own. Here's where the expansion stands and what's next. We're completing our information package for TNMP, coordinated with Baker Botts [outside counsel] and our engineering team, and expect to submit that package by July 10th. TNMP then carries that into ERCOT's batch zero classification process, and we expect ERCOT to publish its conclusion and classifications in early August. As already noted, we are already included in the batch zero baseline calculation, which puts us in an extremely strong position. Based on that, we anticipate confirmation of the additional four hundred and sixty-six megawatts of utility power that takes this Ward County asset to its full seven hundred, with delivery expected by December of twenty twenty-seven. That timing, just so everyone is aware, is gated by transmission infrastructure, as there are two substations presently under construction by Encore and TNMP, and that is their responsibility to deliver, not anything on our side.

Additionally, when evaluating the criteria for Base Load classification, it appears that Ionic is positioning Cedarvale as a grandfathered, phased 700MW load.

1. Already-energized route. PGRR145 §9.2.1.1(1)(b) makes a Large Load energized between March 2022 and July 10, 2026 Base Load and not subject to further allocation study. For this route, ERCOT models the lower of the MW in TNMP's 2026 RTP submission and Cedarvale's latest Load Commissioning Plan. ERCOT FAQ 99 expressly contemplates future increments at an already-energized site, so Base treatment need not stop at today's 234 MW (Reference: [ERCOT Planning Guide, Batch Zero FAQs](#)).
2. Likely second route through the Permian/RPG grandfathering rules. A load included in the 2024 Permian Basin Reliability Plan and contributing to transmission-project need qualifies as Base under §9.2.1.1(1)(d). Pre-December-2025 RPG (Regional Planning Group) studies endorsed by March 4, 2026 are deemed complete and valid. Cedarvale's 700 MW drove the pre-cut-off Silverleaf/Cowpen study, which ERCOT endorsed in December 2023. Individual PBRP loads are confidential, but TNMP can see whether Cedarvale is mapped to this route (Reference: [ERCOT Silverleaf/Cowpen review](#)).
3. TNMP's 2023 filing modeled Cedarvale at exactly 700 MW: 397 MW serviceable on existing or already-committed improvements and 303 MW dependent on the new RPG solution. That exact match strongly indicates the current 700MW plan is the same legacy request, not a newly invented expansion (Reference: [TNMP's PUCT filing](#)).

To simplify: 1) The site is already operating. Cedarvale currently has 234 MW energized. ERCOT's rules allow future phases of an existing site to receive Base Load treatment if those phases were already included in the utility's plans and the site's construction schedule. Therefore, Base treatment should extend to the full 700 MW. 2) The full 700 MW was previously studied. TNMP included Cedarvale's 700 MW request in a 2023 transmission study. ERCOT subsequently approved the Silverleaf/Cowpen grid upgrades needed to support it. This provides a separate grandfathering argument. And 3) The numbers match perfectly: a) 397 MW can be supported by the existing grid or already-committed upgrades. b) Of that, 234 MW is operating, 89 MW is contracted, and 74 MW remains available. And c) The final 303 MW requires the Silverleaf/Cowpen TNP & Oncor upgrades. Therefore, the remaining 377 MW equals 74 MW plus 303 MW. This exact match suggests today's 700 MW expansion is the same project TNMP studied years ago—not a newly created request.

Valuation:

DCF Scenarios

- We value IOND using various techniques, including sum-of-the-parts scenarios, DCF, EV/EBITDA multiples, as well as relative value to public peers with AI HPC leases. To set the table, in all scenarios, we model NNN rent at an effective \$65/kW/month base rent, before the 3% escalator in years 6-10 (identical to first deal with Nscales). We assume SG&A grows 3% off a \$36m 2025 base, we utilize a 21% tax rate (ignoring NOLs), ascribe zero value for continued bitcoin mining operations, and ascribe zero value for lease renewal, but instead value residual value of the assets at 70% depreciated (there's a provision in the Nscale lease whereby if another 10-yr lease extension is not agreed upon, Ionic will take possession of the non-GPU/non-server assets). Lastly, we ignore warrant dilution from the ~3m warrants as a part of the recent \$400m new money private placement—given our view of the value disconnect, the warrants have an immaterial impact on value per share.
- Bear Case assumes 10% discount rate, 50% probability of Midland AI HPC conversion, and 50% probability of Tranche 3 Cedarvale (377MW) lease to Nscale, and scrap terminal value (which assumes \$10m/mw net or \$4.4bn powered shell investment by Nscale is ~70% depreciated in 10 years and then discounted to PV), resulting in \$67/share present value.
- Base Case assumes 9% discount rate, 75% probability of Midland and Tranche 3 Cedarvale powered shell leasing, whereby Ionic spends \$10m/mw net in capex to lease at \$2m/mw net for 10-20/yr term, resulting in >\$90/share.
- Bull Case assumes 8% discount rate, 100% probability of Midland and Tranche 3 Cedarvale, and assumes 100% probability that Tranche 3 is a powered shell conversion, whereby Ionic spends \$10m/mw net in capex to lease at \$2m/mw net for 10-20/yr term, resulting in >\$120/share.

Stock Valuation - Present Value Scenarios					
Bull Case		Base Case		Bear Case	
Cash & BTC	599,911	Cash & BTC	599,911	Cash & BTC	599,911
Cedarvale 234MW PV-8%	1,039,841	Cedarvale 234MW PV-9%	\$990,421	Cedarvale 234MW PV-10%	\$944,460
Cedarvale 89MW PV-8%	301,285	Cedarvale 89MW PV-9%	\$282,535	Cedarvale 89MW PV-10%	\$265,170
Cedarvale (to 700MW) P100%	1,675,300	Cedarvale (to 700MW) P75%	1,196,759	Cedarvale (to 700MW) P50%	760,815
Powered Shell Leasing @15x P100%	\$1,111,280	Powered Shell Leasing @13x P75%	\$490,332	Powered Shell Leasing	-
Remaining 122MW P100%	542,139	Remaining MW P75%	387,280	Remaining MW P50%	246,205
PV of SG&A	(\$308,545)	PV of SG&A	(\$292,992)	PV of SG&A	(\$278,608)
PV of Depreciated Terminal Value	700,590	PV of Depreciated Terminal Value	594,266	PV of Depreciated Terminal Value	487,941
Value	5,661,801	Equity Value	4,248,512	Equity Value	3,025,895
Div. by: Diluted S/O	45,365	Div. by: Diluted S/O	45,365	Div. by: Diluted S/O	45,365
\$/Share	\$ 125	\$/Share	\$ 94	\$/Share	\$ 67
% Upside/(Downside)	127%	% Upside/(Downside)	70%	% Upside/(Downside)	21%
MOIC	2.3x	MOIC	1.7x	MOIC	1.2x
Implied FCF Yield	10%	Implied FCF Yield	9%	Implied FCF Yield	10%
MW Gross Contracted	822	MW Gross Contracted	697	MW Gross Contracted	573
EV' in \$m/ contracted MW	\$5.65	EV' in \$m/ contracted MW	\$4.80	EV' in \$m/ contracted MW	\$3.87
EV' in \$m/ total MW w/ Pipeline	\$5.65	EV' in \$m/ total MW w/ Pipeline	\$4.07	EV' in \$m/ total MW w/ Pipeline	\$2.70

EBITDA Multiple Scenarios:

- Draconian Case assumes 75% EBITDA margins (among lowest of all AI HPC cryptomining conversions to date), 9x multiple, and zero probability of incremental leasing at Cedarvale and Midland, resulting in ~\$50/share.
- Bear Case assumes 80% EBITDA margins (keep in mind, recent peer deals average 85% margin), 10x multiple, and 50% probability of AI HPC contracting at Tranche 3 Cedarvale and Midland, resulting in ~\$90/share.
- Base Case assumes 85% EBITDA margins (on par with recent transactions), 11x multiple, and 75% probability of AI HPC contracting at Tranche 3 Cedarvale and Midland, resulting in ~\$120/share.
- Bull Case assumes more realistic multiples as well as 100% probability of incremental leasing, resulting in ~\$200/share.

Valuation on EBITDA Multiple				
	Draconian	Bear Case	Base Case	Bull Case
Revenue/yr (Cedarvale Tranche 1&2: 234MW + 89MW)	251,940	251,940	251,940	251,940
Assumed EBITDA Margin	75%	80%	85%	90%
Multiple	9.0x	10.0x	11.0x	15.0x
EV	1,700,595	2,015,520	2,355,639	3,401,190
Value / share	\$37.49	\$44.43	\$51.93	\$74.97
Revenue/yr (Cedarvale Tranche 3: 377MW)	294,060	294,060	294,060	294,060
Assumed EBITDA Margin	75%	80%	85%	90%
Multiple	9.0x	10.0x	11.0x	15.0x
EV	1,984,905	2,352,480	2,749,461	3,969,810
Assumed Probability	0%	50%	75%	100%
Value / share	\$0.00	\$25.93	\$45.46	\$87.51
Revenue/yr (Midland 122MW)	87,360	87,360	87,360	87,360
Assumed EBITDA Margin	75%	80%	85%	90%
Multiple	9.0x	10.0x	11.0x	15.0x
EV	\$89,679	\$98,879	\$16,815	\$1,179,359
Assumed Probability	0%	50%	75%	100%
Value / share	\$0.00	\$7.70	\$13.50	\$26.00
Total SOTP				
Cedarvale Tranche 1&2	\$37	\$44	\$52	\$75
Cedarvale Tranche 3	\$0	\$26	\$45	\$88
Midland 122MW	\$0	\$8	\$14	\$26
Cash & BTC/sh	\$13	\$13	\$13	\$13
Total Value/Share	\$51	\$91	\$124	\$202

FCF Valuation Sensitivity:

FCF/sh & Valuation Sensitivity	FCF	Est. FCF/sh	Probability	Prob. Adj.
Cedarvale Tranche 1 Contract 234MW at 85% FCF margin	155,142	\$3.42	100%	\$3.42
Cedarvale Tranche 2 Contract 89MW at 85% margin	59,007	\$1.30	100%	\$1.30
Cedarvale Tranche 3 Contract 377MW at 85% margin	249,951	\$5.51	75%	\$4.13
Midland 122MW at 85% margin	80,886	\$1.78	75%	\$1.34
Total Free Cash Flow	544,986	\$12.01		\$10.19

Valuation Sensitivity	
FCF Yield	Share/Px
15.0%	\$67.93
14.0%	\$72.79
13.0%	\$78.39
12.0%	\$84.92
11.0%	\$92.64
10.0%	\$101.90
9.0%	\$113.22
8.0%	\$127.38
7.0%	\$145.57
6.0%	\$169.84
5.0%	\$203.80

Relative Valuation:

- Benchmarking EV less bitcoin: signed-deal peers (IREN, Hut 8, Cipher, Applied Digital, TeraWulf, Galaxy, Core Scientific) average \$10.3m per MW gross and \$3.8m per MW gross if we include MW growth pipelines (i.e. incremental sites on which these miners are pursuing load studies, are under diligence to acquire, or are bidding on).
- At \$55, Ionic trades at \$4.4m/MW on 435MW and \$2.3m/MW on its full 822MW pipeline — so roughly 50% discount to signed-deal peers, despite ~\$2.6bn of contracted Nscale revenue and de minimis landlord capex. Signed-deal peer benchmarking implies ~\$80-110/share for IONC (upside of ~50-100%); Benchmarking with public peers with zero AI HPC deals to date implies ~\$50/share of IONC. While IONC has tenant concentration (for now), and ERCOT exposure (generally viewed one of the most commercial ISOs for data centers), the market is pricing Ionic like an uncontracted miner, not a funded landlord with 10 years of guaranteed cash flows and imminent expansion potential.

Pricing Upside We Don't Model:

Ionic's \$65/kW month lease, which was signed in October 2025, predates the latest scarcity step-up in powered shells and compute pricing. Recent deals are not perfect comps given Ionic's powered land versus peer powered shell deals, however, when adjusting for quality of tenant, credit wrappers, lease structure, lease duration, and capex requirements, pricing for powered shells in aggregate has improved year to date compared to 2025.

This scarcity pricing is flowing through on compute pricing as well (generally priced on \$/GPUhr). See below for compute pricing from Compute Desk Hopper US Index (H100 & H200 pricing) and Silicon Data B200 On-Demand Rental Index.



- Lastly, IREN, which is pursuing a neocloud approach, rather than the customary powered shell conversions of most cryptomining peers, recently signed compute deals with NVIDIA and Perplexity, implying over 50% higher revenue density than its 2025 compute deals with Fluidstack and Microsoft.

Management & Board:

CEO Andy Stewart previously led Evoque Data Center Solutions and spent eight years as CFO/Chief Strategy Officer of TierPoint; CFO Chris Hickman (May 2026) ran Tillman Infrastructure after Crown Castle and Noble Energy. The board blends restructuring, governance, crypto, and infrastructure experience (Chair Elizabeth LaPuma; Abbate and Wiener joined June 2025 after shareholder pressure). Incentives align: 75% of Stewart's equity award is PSUs vesting in thirds at \$2.5bn, \$3.75bn, and \$5.0bn equity values — roughly \$55, \$83, and \$110/share (~50% and ~100% above \$55/sh spot for the upper hurdles).

Risks: Tenant concentration, NVIDIA-guarantee sunsets after year five at which point Nscale's parent guarantees the lease, and limited acreage at Cedarvale (only 136 acres owned; however, note that Nscale is utilizing only 50 acres for the Tranche 1 234MW, so master site plan is fairly dense and thus 136 acres should be able to accommodate nearly the full 700MW, if adjacent incremental acreage is not acquired). Lastly, to be clear, Ionic only has 346MW ERCOT-approved and energized today. That said, we believe public documents and management commentary support a plausible pathway for Cedarvale's previously studied 700 MW to receive favorable Base Load treatment.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Catalysts: August 7 Batch Zero classification; transmission project progress (Silverleaf and Cowpen 138-kV facilities, Oncor Hays Hill 345-kV switch, TNMP Silverleaf 345/138-kV station, etc.); tranche-two energization and construction milestones; tranche-three or Midland energization and leases at potentially improved rents; public-company earnings; and sell-side initiation. Potential selling overhang from lifting four-year freeze on the fragmented Celsius accountholder base.

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Messages

No messages